TECHNICAL & FINANCIAL PROPOSAL

Inward Remittance Management System

Licensing & Implementation of

RemitHome
The Right Solution At The Right Time

(Acquisition - Advance IBFT)

Dated

01 March 2013

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1 Technical Proposal

1.1 Request for Proposal

1.1.1 The proposal is submitted with reference to 'RemitHome' BRD received from JSBL dated 23rd Jan 2013 and final scope email dated 22 Feb 2013.

1.2 JBL Business Requirement

1.2.1 As per the directives of SBP an access should be allowed to Exchange Companies and their Agents to process IBFT transactions directly from the interface provided to them with maker checker controls. In this context following is the requirement to design an interface within the Remit Home System to process IBFT transactions directly by Exchange Companies and their Agents.

1.2.2 To automate the IBFT process, it is essential to have integration between RHS and IBFT option of JSBL internet banking; whereby transactions appearing in RHS under IBFT processing queue should be pushed to 1Link for title fetch and subsequent verification on T-24 for available balance in Remit Home System and necessary financials in case of successful response from both end.

1.2.3 Frontend interface similar or a customer portal should be designed within Remit Home System to provide limited access to Exchange Companies and their Agents to process IBFT transactions.

1.2.4 Static maintenance option for setting up IBFT transactions limit of Agents of Exchange Companies per day per beneficiary should be available with maker checker control to allow Exchange Companies for setting up IBFT limit for their agents.

1.2.5 This option will provide control to Exchange Companies to restrict execution of IBFT transactions beyond the limit as set by the Exchange company for each Agent.

1.2.6 AGENT ROLE TO PROCESS IBFT

- Approved Agent of Exchange Company will book IBFT by login into the Frontend interface of Remit Home System.
- Once the transaction is booked and saved by the Agent the transaction will be moved to "Pending for Authorization Queue"
- In case, where Agent exceeds the per day IBFT limit granted to the Agent and maintained in the Remit Home System by its principle Exchange Company, the system should not allow the agent to save the transaction with pop-up message "PER DAY IBFT LIMIT EXCEEDED"
- As soon as the transaction is booked by the Agent Exchange Company, the Remit Home System will send Title Fetch request to 1Link.
- 1Link will respond to the Title Fetch request and upon successful response from 1Link, Remit Home System will send FT request to T-24 through calling API with the transaction description (such as transaction type, date/time and STAN) and will be saved at T-24 as input mode.
- If the balance in the relevant Exchange Company is insufficient, then system should show a popup message on the Remit Home Screen that the "BALANCE IS INSUFFICIENT"
- T-24 system will identify the Home Remit agent transaction based on special character.
- Designated personnel of Agent's Principle Exchange Company will login into the Frontend interface of Remit Home System to authorize the transaction if the transaction details are

found in order. As soon as transaction is authorized on Remit Home System, IBFT advice and FT transaction message will be sent to T-24 for the FT transaction that is saved in input mode in T-24 to authorize the same by passing following accounting entries.

Debit / Credit	Description	Amount
Debit	RE Account	xxxx.xx
Credit	IBFT Suspense Account	xxxx.xx

- T-24 system will then send a successful response message to 1Link through API to execute the transaction.
- If the FT remains unauthorized for 15 minutes in T-24, then it will be moved to "HOLD" status and will only be authorized or deleted manually upon the request of authorized personnel of relevant exchange company via email.
- Similarly, the designated personnel of Exchange Companies principle office should also have access on Remit Home System and be able to process IBFT transactions in accordance with the process defined above.

1.3 Understanding of Scope

1.3.1 RemitHome will provide new Acquisition Module for Advance IBFT functionality with the new User Interfaces with the real time connectivity with JS middle ware at the back end.

1.3.2 Agent Mechanism will be available with the user rights for Data Entry and Authorization.

1.3.3 Agent/Sub –Agent Limit Management will be available.

1.3.4 Turn around Time (TAT) will be applicable between Sub-Agent Data Entry and Agent Authorization level and in the event of TAT expiry; transaction will be marked as Hold.

1.4 RemitHome Functional Coverage

1.4.1 Parameter Module

a. Limit Management
b. AML Validation
c. Time Management

1.4.2 Security Module

a. User Rights at Option Level
b. Captcha

1.4.3 Sub-Agent - Data Entry

a. Data entry for IBFT and OWN bank customer
b. A/C number length will be restricted upon selection of Bank
(Detail's will be provided to User just like Internet banking)
Example: Please enter complete 13 or 20 digits A/C number following the layout below
BBBB –AAAAAAAAAAAAAAA (20 digits)
c. IBFT- Title will be fetched from 1-Link
d. Own Account Credit- Title will be fetched from CBS through middle ware

1.4.4 Sub-Agent Data Verification

a. Data Verification with fetched title successfully.
b. Limit will be applied between Sub-Agent and Master Agent as per below:
- Maximum limit for the day
- Maximum number of transaction per day
- Maximum Amount per Transaction
c. Upon saving the transaction financial entry will generated for
NR A/C – Dr
Beneficiary A/C - Cr.
Note: Transaction will be saved in Un-Authorized Mode and shadow balance will be created.
d. OFAC check will be applied.
e. TAT (turn Around Time) will be applied based on configuration.

1.4.5 Agent - Data Authorization

Transaction will be available for Authorizer to Authorize following:

a. Outstanding Authorization
- A separate interface will be available to authorize the outstanding transaction.
- Upon clicking [Authorize] button financial transaction status will be send to Core banking Through middle ware after which actual balances will be updated.
- Upon clicking [Reject] button financial transaction status will be changed as "Reject" and same effect will be sent to Core Banking through middle ware after which shadow balance will be cleared without any actual effect in Accounts.

b. Expired Authorization
- A separate interface will be available to authorize the TAT Expired Transaction.
- This Transaction will need to be released by JS user.
- Once Transaction is released, Agent can authorize the transaction.
- Upon clicking [Authorize] button financial transaction status will be send to Core banking

through middle ware after which actual balances will be updated.

- Upon clicking [Reject] button financial transaction status will be changed as "Reject" and same effect will be sent to Core Banking through middle ware after which shadow balance will be cleared without any actual effect in Accounts.

c. Block Authorization

- A separate interface will be available to Release the AML Block Transaction.
- Once Transaction is released, Agent can authorize the transaction.
- Upon clicking [Authorize] button financial transaction status will be send to Core banking through middle ware after which actual balances will be updated.
- Upon clicking [Reject] button financial transaction status will be changed as "Reject" and same effect will be sent to Core Banking through middle ware after which shadow balance will be cleared without any actual effect in Accounts.

1.4.6 Reporting

1. Transaction Confirmation
2. Customer Profile
3. Transaction Status report
4. AML Report
5. Transaction Lifecycle Report
6. Remitting Entity based Volume Report
7. Transaction receipt / Acknowledgement

Note: Reports Specs will be finalized later with the consultation of client

1.5 Other Enhancements/Customization (if any)

1.5.1 The Time and Fee to complete the scope covered under enhancements/customization will determined after analyzing scope.

1.5.2 This includes development, user acceptance testing, training and pilot implementation support assistance.

1.5.3 The design and development work will be start within four (4) calendar weeks from the date of receipt of purchase order (PO).

1.6 Deployment Location

1.6.1 The application shall be installed and implemented at Bank's selected pilot branch in Karachi, Pakistan and may be relocated by the Bank at any other of its branch after prior written intimation to us as provided in the Agreement. However, we are not responsible for the re-installation, configuration, training or implementation at any new location.

1.7 Access to Business Partners

1.7.1 The business partners of the Bank shall be entitled to access only the software from the centralized location of the bank in order to perform their business operations.

1.7.2 We are not responsible for providing any training or implementation support to such business partners. If required, separate proposal will be submitted.

2 Time Schedule

2.1 Time Frame

2.1.1 The time to complete the assignment according to scope of work (as refer in scope of work above) will be 12 calendar weeks.

2.1.2 This includes application new interfaces development, deployment/configuration, user acceptance, end-user training and pilot implementation support assistance.

2.2 Other Terms and Conditions

2.2.1 The application will be deployed within six (6) calendar weeks from the date of receipt of purchase order (PO).

2.2.2 Implementation time given is based on the assumption that the configuration, static data and other resource required from the Bank for setting up the application will be provided in time. If this would not be available in the specified time then this will increase the implementation time frame.

2.2.3 The free warranty period of six (06) calendar months will be commenced from the time of application installation.

2.2.4 The maintenance period of twelve (12) calendar months (under a separate agreement) will be started soon after completion of warranty period.

3 Assignment Methodology

3.1 Installation, Configuration, UAT and Training

3.1.1 To install and configure the Software application with the help of Bank and then conduct a detailed walkthrough/user acceptance session to identify any issues which may cause difficulty during system implementation and enhance the system to the limited extent required to cater to such difficulties.

3.1.2 User training will be provided to the designated staff. The training will comprise of a detailed session during which the entire system features will be demonstrated to the user. It is required that the prospective user is computer literate and has appropriate business knowledge related to the module.

3.1.3 During the training session the selection of test scenarios for the exercise will be the responsibility of the BANK. We would suggest that some complex scenarios be selected so that the system is fully tested and difficulties do not arise during implementation.

3.2 Pilot Implementation Support

3.2.1 To provide support assistance during the pilot implementation period of specified calendar months. Under this, SHMA will be engaging non-dedicated resources to analyze, recommend, discuss and assist in proper implementation.

3.2.2 The above activity will include entering transactions on a day-to-day basis in the system in parallel to the existing system, either computerized or manual operations. The data entry and checking of reports at this stage will be the responsibility of the BANK, however, SHMA will provide assistance to the BANK's staff in terms of investigating and sorting out any problems identified.

3.2.3 The support assistance does not include rectification of data due to wrong data entry/process execution; however, SHMA will facilitate the client to rectify the same. Similarly, the support assistance does not include rectification of data due to malfunctioning/disturbance in the hardware, operating system, and form/report development tool and database engine.

3.2.4 The support during pilot implementation, warranty period, maintenance and support period will be provided five working days a week (i.e. Monday to Friday – From 9:30 AM to 5:30 PM) without permanent sitting of resource person at Bank premises.

3.2.5 In the case of any issues or errors/bug reported, consultant obligation shall be to exercise its best efforts to modify or rectify the software so as to correct the defective performance, within a reasonable time frame, the priority of which will be decide with mutual consent by the Bank and SHMA (High Priority within 2 days, Medium Priority within 4 days and Low Priority within 10 days).

3.2.6 We do not make any warranties, expressed or implied, towards successful implementation of the project / software, as we understand that besides the software there are a number of other variables that will contribute towards an effective implementation. However as per tradition and practice our best efforts & resources will be deployed towards generation of desired results.

3.2.7 Manual entry, data conversion and its authenticity will be the responsibility of the BANK; however, we will assist the BANK's technical staff in transformation of data into a form acceptable to our application system.

3.3 Other

3.3.1 The ownership of the Test & Live servers along with database and software shall be the responsibility of the BANK. Similarly, we are not responsible for providing any kind of Hardware, Operating System, Database Engine, and Front-End Tool Software maintenance or support services.

3.3.2 We have provided a timeline for implementation of the Software at the Bank after taking into account the capacity to absorb technology. It is envisaged that a satisfactory level of implementation is achieved within the estimated time as allocated.

3.3.3 Depending on the deployment model, other services may also be required to setup, configure & optimize the network layer. The same will be charged on the basis of resource engagement and actual time spent as per rates quoted and agreed.

4 Financials

4.1 Fee Structure

4.1.1 The total product license fee according to the scope of work (as mentioned in Scope of Work) will be PKR 1,900,000/- (i.e. 1.9 Million)

4.1.2 The product license fee includes application License, Configuration, Training and Implementation Support Assistance at Pilot Branch.

4.1.3 The fee quoted is given on the basis that the mentioned application coverage (standard or enterprise) would be ordered at the time of placing written purchase order (PO).

4.1.4 The fee is inclusive of all local taxes and would be adjustable subject to changes in the scope of work.

4.1.5 An additional license fee for each additional application server/processor install will be 25 percent of the license fee mentioned above (other than UAT and DRS server).

4.1.6 We will charge out of pocket expenses (for visits outside Karachi, Pakistan) which includes traveling, boarding and lodging cost at actual plus the per diem cost of @ Rs. 2,000/- per person per day for our staff traveling during the period of this assignment and extended support period.

4.1.7 The fee of the assignment does not include the cost of Hardware, Operating System License fee, Database Engine License Fee, and Front-End Tool Software License.

4.1.8 As per our general policy, we do not provide source code, therefore, the fee mentioned above is without source code.

4.1.9 The mode of payment for product license fee is as follows:

No.	Schedule	Percentage
01.	Mobilization Advance	40%
02.	Upon Completion of Deployment and Walk thru	30%
03.	Upon Completion of Complete UAT	20%
04.	Upon Completion of Two (02) Calendar Weeks LIVE Run	10%

4.2 Other Fees

Maintenance & Support Fee (Advance Package)

4.2.1 Free warranty period of six (06) calendar months will be commenced from the time of application installation.

4.2.2 The maintenance period of twelve (12) calendar months (under a separate agreement) will be started soon after completion of warranty period.

4.2.3 If the BANK requires maintenance and support services (bugs and error fixing and minor improvements) on expiry of warranty period, a separate agreement will require to be signed. The maintenance and support fee 'Basic Package' will be eighteen (18%) percent of absolute (License + Customization/Enhancement) fee on yearly basis in advance.

Enhancement/Customization Fee

4.2.4 If the BANK requires enhancement or change at any time, a "Change Request" will be initiated by BANK. In response to this SHMA will submit a quotation identifying scope of work along with a time schedule and fee for BANK approval.

4.2.5 As per agreed scope of work, SHMA is committed to provide maximum 10 Reports and/or Inquiries free of charge. In addition to this, all reports / inquires will be considered as additional work and chargeable @ Rs. 25,000 per report / inquiry.

4.2.6 The mode of payment will be 50 percent at the time receipt of purchase order (PO) where as remaining 50 percent will be at the time of UAT approval (before deployment in LIVE environment).

Support Assistance Fee

4.2.7 If the BANK requires the services of our firm to provide configuration, training and implementation support assistance after specified pilot branch or after the specified calendar months, then this will be charged for on number of hour basis. A full day charge (8 man hours) will apply for all visits & stays outside Karachi.

4.2.8 A separate implementation fee @ Rs. 2,000/- per man hour in addition, the traveling, boarding and lodging and other related costs will be charged on actual basis.

4.2.9 The mode of payment will be monthly based upon number of actual hours spend during a calendar month.

5 Other Matters

5.1 Specific

5.1.1 The proposal is valid for acceptance until a period of One (1) months from the proposal date.

5.1.2 We will be in a position to commence work on the assignment within four weeks after receipt of Purchase Order.

5.2 General

5.2.1 The provision of suitable working space, environment with access to computer systems as well as stationery and backup media for our project team for all aspects will be the responsibility of the client.

5.2.2 The client, during the execution of the assignment or for a period of one year following the end of the assignment, will not make or attempt to make an offer of employment to any of our employees, either those working on the assignment or otherwise.

5.2.3 We would recommend that the company appoint a liaison person for this assignment whom we can contact for information when necessary. An effective liaison will greatly speed up the completion of the assignment.

5.2.4 We do not make any warranties, expressed or implied, towards successful implementation of the project / software, as we understand that besides the software there are a number of other variables that will contribute towards an effective implementation. However as per tradition and practice our best efforts & resources will be deployed towards generation of desired results.

5.2.5 For multi-location deployment, setting up of Wide Area Network and connectivity will be the responsibility of the client. Likewise, database administration, replication, backup and optimization will also be handled by the client resources.